

IB WEEKLY ASSIGNMENT – 2

1. What is a startup?

A startup is a new business formed around an idea or solution that can serve many customers and scale over time. It often emerges when the owner identifies a customer problem and seeks a solution that customers will pay for. The newly established business is not always a startup, and the ability to expand the business to serve many customers is significant.

For example, a grocery delivery startup may initially launch its service in one region and expand to other areas. Its focus is on learning customer needs, providing a suitable service, and finding a way to monetize it.

2. What is a business model?

A business model is a description of how a business works and how it will make money. It includes details about the business such as the target customers, the product or service provided, how the business will attract customers, and the expenses incurred.

In addition, a business model may identify important partners needed to deliver the product or service to customers.

For example, an online tuition startup will charge its students a fee for the services rendered. The expenses in the business model may consist of salaries paid to teachers, software, and advertising. With more students, the business's revenues can grow, but the costs incurred must be met for the business to profit.

3. What is startup funding?

Startup funding is the money used to start, run, or grow a business. It can be in the form of the founder's savings, investor investments, or loans from lenders. Funding is not the same as revenue, which is the money earned from sales.

The type of funding is also important because a loan requires repayment with interest, whereas equity funding involves giving investors a business ownership share. Therefore, founders should review the ownership and other terms accompanying the funding, apart from the amount.

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4. What is a startup valuation?

Startup valuation is a startup's worth, helping the founder and investors agree on the company's value. Pre-money valuation applies when a company's value is determined before receiving the investment, and post-money valuation applies when a company's value is after receiving the investment, the investment amount.

The valuation is different from the company's cash or sales. For instance, if the valuation of a company is at ₹20 crore, it does not mean that the firm's account contains ₹20 crore. The amount of investment and the valuation of the company are separate.

5. Name any 3 startups.

Startups such as Zepto, Razorpay, and Clear (ClearTax) represent three Indian startup companies that work in different areas but utilize digital technology to solve various customer problems.

Startup	What it offers	Customer need addressed
Zepto	Quick delivery of groceries and everyday products.	Convenience when something is needed quickly.
Razorpay	Digital payment and financial tools for businesses.	Accepting and managing customer payments.
Clear (ClearTax)	Tax and financial software.	Organising tax-related work and filings.

6. What is a unicorn?

A unicorn is a privately held startup valued at US\$1 billion or more. The term is based on the company's valuation and does not mean that the company has US\$1 billion in sales, profit, or cash.

The unicorn status may suggest investors' expectations for the company's significant growth, but its valuation is not always an indicator of whether the firm is profitable. The company's growth and ability to generate revenue in several areas such as customer acquisition, spending, and profitability are also important considerations.

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7. Name any 2 sources of startup funding.

Angel investors: Angel investors are individuals who use their savings to invest in startups, usually at an early stage. They may also provide business expertise, advice, and connections to the company. Founders should review the ownership stake and other terms before accepting the investment.

Venture capital firms: Venture capital firms invest money collected from funds to finance startups with higher growth potential. Normally, venture capital firms acquire a stake in the company in exchange for funding the new business. They anticipate gaining from the company's growth either through its shares' value increasing or the company's ability to repay the loan.

8. Why do startups need funding?

Startups need funding because they have expenses even before they start generating revenue, which may require investment. The money may be necessary to develop the product, hire staff, purchase equipment, advertise, and reach customers.

For instance, a grocery delivery startup may incur expenses such as storage space and packaging materials for the orders received. Funding helps the business to test and refine its idea because the money will provide the company with an opportunity for survival. For instance, if a company has ₹12 lakh and spends ₹2 lakh a month, the money can last the company for about six months. This shows why startups need to monitor cash usage.

Question

A startup has a valuation of ₹20 crore and an investor invests ₹2 crore. What percentage of the startup does the investor receive?

Solution:

If ₹20 crore is the post-money valuation, which is the value of the company after the investment.

$$\begin{aligned}\text{Investor's ownership} &= (\text{Investment} \div \text{post-money valuation}) \times 100 \\ &= (\text{₹2 crore} \div \text{₹20 crore}) \times 100 = 10\%\end{aligned}$$

Therefore, the investor receives 10% ownership, and the existing owners together retain 90%.

If ₹20 crore is the pre-money valuation, the post-money valuation will be ₹22 crore.

$$\text{Investor's ownership} = (\text{₹2 crore} \div \text{₹22 crore}) \times 100 = 9.09\%$$

Thus, the answer depends on whether the valuation of ₹20 crore is pre-money or post-money.